Samsung SDS

Emerging NeoCloud ambition, but earnings path still taking shape; assume coverage at Neutral with W220K PT

Neutral

018260.KS, 018260 KS
Price (07 Oct 26):W206,000

▲**Price Target (Dec-27):W220,000**
Prior (Dec-26):W175,000

We assume coverage of Samsung SDS at Neutral with a Dec-27 PT of W220K. We believe the company is well positioned to leverage its Neocloud (AI data center) expansion strategy, supported by secured captive demand from the Samsung group. However, we anticipate that the earnings inflection point remains distant, likely not materializing until late 2029, following the opening of the Gumi AI DC. The underlying economics appear volatile, and the success of non-captive execution requires further validation, in our view. Our SoTP-driven Dec-27 PT of W220K reflects stable IT services margins amid AI-driven opportunities and risks, valuing legacy SI at W14T (16x target 2028E P/E) and AI DC business at W2.4T. We believe the AI DC hype is largely priced into the YTD share price re-rating (W2.8T market cap increase), while further progress in AI DC upside economics and non-captive execution remains a key share price swing factor.

- **A key AI DC play: Captive: low execution risk; non-captive: validation required.** The 60MW Gumi project (first batch) is supported by reliable captive demand (SEC, Samsung group), creating a distinct AI data center value proposition. However, earnings contributions are expected to be delayed until 4Q29, with captive economics exposed to volatility in compute power and GPU pricing, given the lack of upfront, locked-in contracts. Non-captive upside is too early to underwrite, given limited strategic visibility. We project first-party AI DC to contribute 2%/5% to revenue/OP through 2029, accelerating to 13%/32% by 2032, with 135MW total neocloud capacity.
- **The enterprise AI transition** offers upside for SDS's ITS business through increased AX project volumes and AI-driven productivity, but also brings pricing pressure and dilution risk to traditional SI value-add. Non-captive MSP execution will be a key earnings driver ahead of the Gumi AI DC launch in 4Q29E. ITS margin improvement should be limited in the near term due to MSP's lower margin profile. We forecast a total revenue/OP CAGR of 4%/11% for 2026-29 (excluding 1Q26 one-offs), accelerating to 8%/19% in 2029-32, led by the Gumi AI DC launch. Our revenue/OP estimate is 1%/2% below consensus for 2027 and 2%/3% for 2028.
- **Neutral with Dec-27 PT of W220K.** We believe AI DC value upside is largely priced into the 21% YTD share price increase (or W2.8T market cap increase, compared to -22% for domestic AI DC platform peers) and that a further re-rating would require stronger captive AI DC economics and successful non-captive execution. Our SoTP-driven Dec-27 PT of W220K comprises: (1) W14T value for the legacy SI business, based on a 16x target 2028E P/E (3yr average); and (2) W2.4T AI DC value, applying CoreWeave's 4.5x 2031E EV/EBIT. We believe the company's implied 20.0x 2027E P/E is fair.

Internet and Telco

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (W)	9,366	8,706	-7.1%
Adj. EPS - 27E (W)	11,508	10,985	-4.5%
Adj. EBIT - 26E (W bn)	844	813	-3.6%
Adj. EBIT - 27E (W bn)	1,086	1,068	-1.7%
Adj. EBITDA - 26E (W bn)	1,481	1,462	-1.3%
Adj. EBITDA - 27E (W bn)	1,795	1,764	-1.8%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)

	2025A	2026E	2027E
Q1	2,733	1,194A	2,596
Q2	2,205	2,314A	2,675
Q3	2,522	2,528	2,786
Q4	2,356	2,669	2,929
FY	9,816	8,706	10,985

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	62	44	42	39	69
Growth	37	25	25	63	25
Momentum	37	77	55	28	88
Quality	20	11	12	22	10
Low Vol	67	27	29	16	16
ESGQ	8	19	12	99	2

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 19 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	20.6%	-15.0%	0.5%	23.6%
Rel	-40.9%	-12.3%	11.6%	-64.9%

Company Data

Shares O/S (mn)	77
52-week range (W)	389,000-146,000
Market cap ($ mn)	11,906
Exchange rate	1,338.80
Free float (%)	42.3%
3M ADV (mn)	0.40
3M ADV ($ mn)	65.5
Volatility (90 Day)	97
Index	KOSPI
BBG ANR (Buy | Hold | Sell)	17|3|0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	13,930	14,554	15,178
Adj. EBIT	957	813	1,068
Adj. EBITDA	1,587	1,462	1,764
Adj. net income	760	674	850
Adj. EPS	9,816	8,706	10,985
BBG EPS	10,073	9,074	11,564
Cashflow from operations	1,203	1,158	1,467
FCFF	716	624	621
Margins and Growth			
Revenue Growth Y/Y (%)	0.7%	4.5%	4.3%
EBIT margin	6.9%	5.6%	7.0%
EBIT Growth Y/Y (%)	5.0%	(15.0%)	31.3%
EBITDA margin	11.4%	10.0%	11.6%
EBITDA Growth Y/Y (%)	4.5%	(7.9%)	20.6%
Net margin	5.5%	4.6%	5.6%
Adj. EPS growth	0.3%	(11.3%)	26.2%
Ratios			
Adj. tax rate	27.2%	28.2%	27.5%
Interest cover	NM	NM	NM
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	7.6%	6.3%	7.5%
Valuation			
FCFF yield	4.5%	3.9%	3.9%
Dividend yield	1.5%	1.7%	1.8%
EV/Revenue	0.8	0.6	0.6
EV/EBITDA	6.6	6.1	4.9
Adj. P/E	21.0	23.7	18.8

Summary Investment Thesis and Valuation

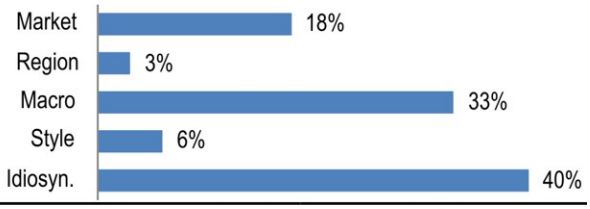
Investment Thesis

We rate SDS as Neutral. The company is well positioned to leverage its Neocloud (AI data center) expansion strategy, supported by secured captive demand from the Samsung group. However, we anticipate that the earnings inflection point remains distant - likely not materializing until late 2029 following the opening of the Gumi AI DC. The underlying economics appear volatile and the success of non-captive execution requires further validation. We believe the AI DC hype is largely priced into the YTD share price re-rating, while further progress in AI DC upside economics and non-captive execution remains a key share price swing factor.

Valuation

Our SoTP-driven Dec-27 PT of W220K reflects stable IT services margins amid AI-driven opportunities and risks, valuing legacy SI at W14T (16x target 2028E P/E) and AI DC business at W2.4T.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.42
Region: Korea	0.17	0.19
Macro:		
Generic 1st 'CO' Future	0.70	0.67
JPM China A-shares Sentiment	-0.23	-0.19
US 10 Year Yield	-0.23	-0.18
Quant Styles:		
Value	0.25	0.23
Growth	-0.25	-0.22
DivYld	0.18	0.17

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

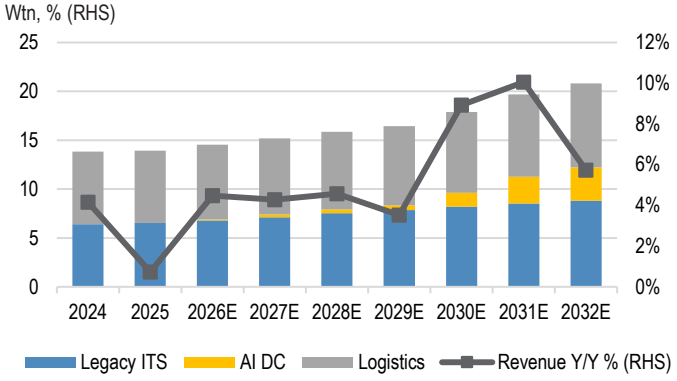
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Company snapshot and key share price drivers

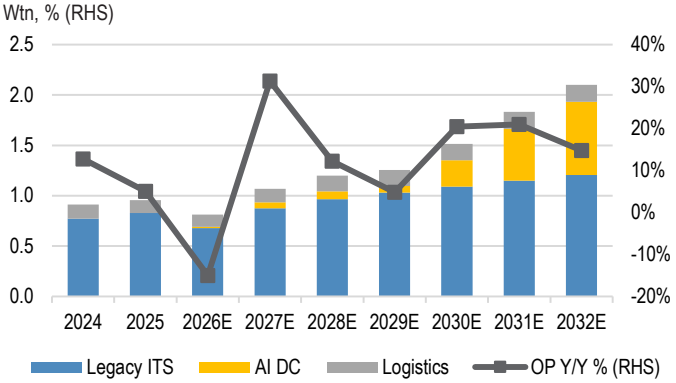
Samsung SDS (SDS) is Samsung Group's SI operator, offering systems integration and tailored IT services (ITS) designed to meet the group's requirements. SDS also provides logistics services to Samsung's affiliates. SDS's ITS/Logistics segment accounted for 47%/53% of revenue in 2025, but ITS's OP contribution was ~86%, reflecting its higher OPM vs. that of Logistics (12.6% vs. 1.8% in 2025).

Figure 1: Samsung SDS: Revenue by segment



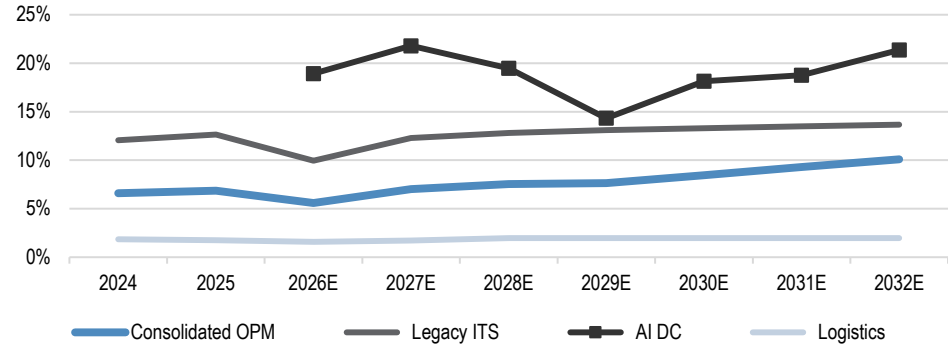
Source: Company data, J.P. Morgan estimates. Note: Legacy ITS consists of SI, ITO and Cloud (ex-AI DC) businesses.

Figure 2: Samsung SDS: OP by segment



Source: Company data, J.P. Morgan estimates. Note: Legacy ITS consists of SI, ITO and Cloud (ex-AI DC) businesses.

Figure 3: Samsung SDS: OPM by segment



Source: Company data, J.P. Morgan estimates. Note: Legacy ITS consists of SI, ITO and Cloud (ex-AI DC) businesses.

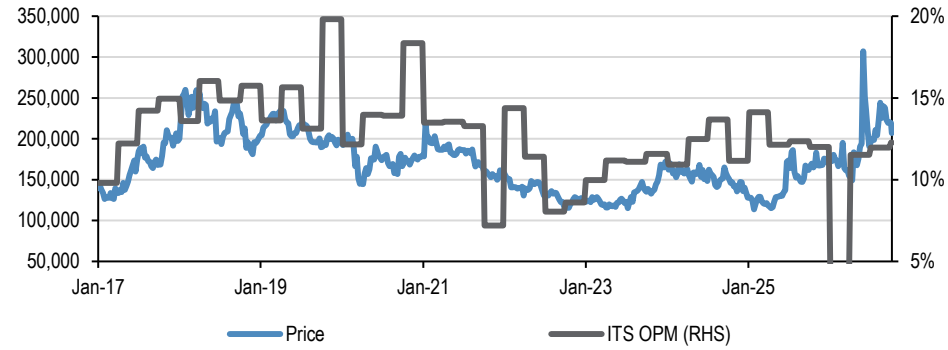
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The stock has historically moved with ITS operating margins, which usually rise when Samsung Group increases internal IT spending (often on better terms, in our view) and when SDS does more higher-margin CSP business.

- **In 2021-22**, the stock came under pressure as disciplined captive IT spending and a developer salary boom pushed labor costs higher, compressing ITS margins. ITS's OPM fell to 10.6% in 2022 from 14.7% in 2020.
- **In 2023-25**, the stock recovered as labor cost inflation moderated and cloud migration accelerated (alongside the Dongtan HPC launch), lifting ITS's margins back to 12.6% by 2025.

Figure 4: Samsung SDS: Share price vs. ITS OPM

W, % (RHS)

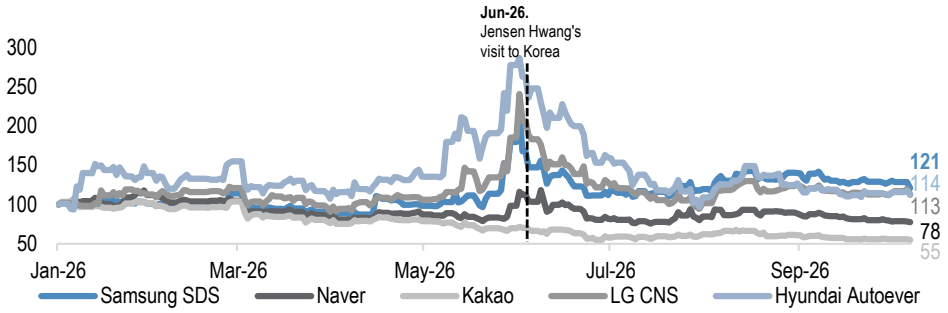


Source: Bloomberg Finance L.P., Company data.

The market narrative for SDS has recently shifted to the AI DC. The stock rallied in 1H26, despite weak ITS OPM, on rising expectations for AI DC opportunities, supported by multiple events (e.g., KKR's investment, SDS's AI DC capex plan). Notably, the AI infra value chain rally into Jensen Huang's visit in June faded quickly for most domestic Internet platform/ITS names, but SDS has been relatively resilient, reflecting, in our view, its better AI DC execution visibility backed by captive demand.

Figure 5: Samsung SDS vs. Internet platform/ITS peers' YTD share performance

2026/1/1 indexed as 100



Source: Bloomberg Finance L.P.

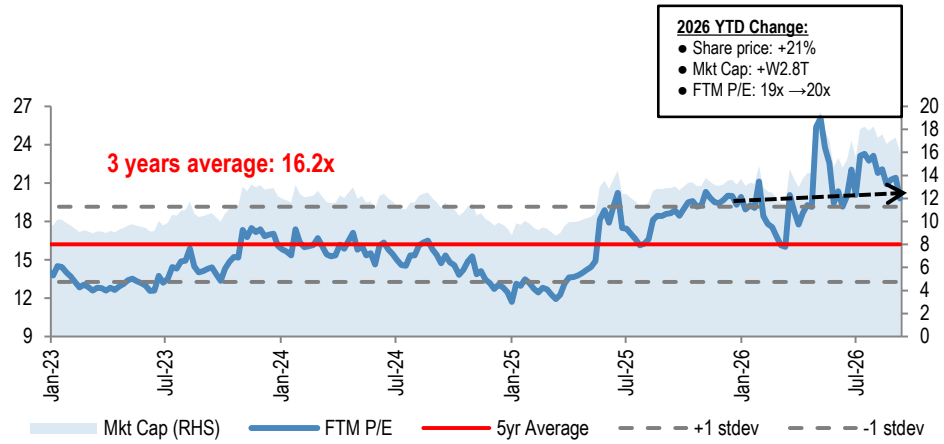
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Neutral, Dec-27 PT of W220K

We believe AI DC value upside is largely priced into the 21% YTD share price increase (or W2.8T market cap increase, compared to -22% for domestic AI DC platform peers) and that a further re-rating would require stronger captive AI DC economics and successful non-captive execution.

Figure 6: Samsung SDS: 1yr fwd P/E, market cap trend

x, Wtn (RHS)



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Our SoTP-driven Dec-27 PT of W220K reflects stable ITS margins amid AI-driven opportunities and risks, valuing legacy SI at W14T (16x target 2028E P/E) and AI DC business at W2.4T. We believe the company's 20.0x implied 2027E P/E is fair.

- **Core legacy (ex-AI DC) business:** We apply a 16.2x target 2028 P/E multiple (3yr average) to SDS's 2028E NP (ex-AI DC).
- **AI DC:** We apply CoreWeave's 4.5x 2031E EV/EBIT multiple to SDS's 2031E GPUaaS OP. On top of that, we add Haenam value, based on the same multiple, but adjusted for SDS's 30% stake.

Table 1: Samsung SDS: SoTP valuation

SoTP	Value (Wtrn)	Per share (KRW)	Note
(1) Core legacy	**14.4**	**190,000**	**Apply 16.2x target 2028E P/E multiple (3-year average) to 2028E NP (ex-AI DC)**
(2) AI DC value	**2.4**	**30,000**	**Apply CoreWeave's 4.5x 2031E EV/EBIT multiple to 2031E GPUaaS OP**
(a) 1st party (Dongtan + Gumi)	2.1	27,000	W3.1trn implied value as of Dec-31
(b) Consortium-based (Haenam)	0.3	3,000	30% stake assumption
Fair value	16.8	220,000	20.0x implied 2027E P/E

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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Samsung SDS AI DC value proposition

Captive demand ensures low execution risk; non-captive execution remains a swing factor

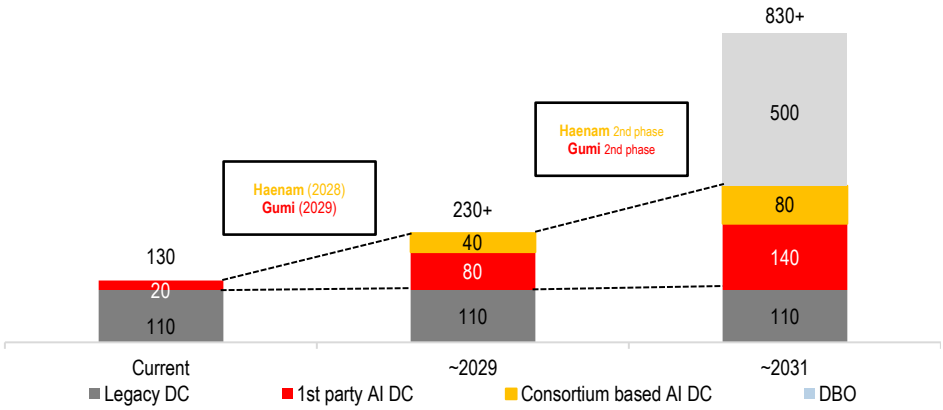
For Korean AI DC (NeoCloud) providers, the key question is "who are the end customers?" but the Samsung Group effectively answers that upfront in SDS's case. Unlike providers that must win new external customers to fill capacity, SDS can underwrite initial buildouts on the back of rising captive compute demand from Samsung group-wide AI adoption, which should lower execution risk.

SDS outlined an AI DC buildout roadmap in July 2026, targeting to add ~200MW (Gumi 120MW + Haenam 80MW) GPUaaS capacity by 2031, compared with the current ~20MW capacity (excl. 110MW legacy cloud capacity) at the Dongtan AI DC West site.

Within the first phase through 2029, SDS plans to bring 100MW online: 40MW at the Haenam AI Computing Center (AI CC) by 2H28E and 60MW at the Gumi AI DC by 2H29E. If demand warrants after the initial rollout, management indicated room for an additional 100MW second-phase expansion in aggregate across the two sites, leveraging existing infrastructure. Separately, management also guided to operate 500MW of DBO (Design-Build-Operate) by 2031.

Figure 7: Samsung SDS: AI DC capacity expansion roadmap

MW



Source: Company data.

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SDS's three AI DC business models

We categorize SDS's AI DC projects into three, based on a capital/ownership/business model that results in extensively different economics and risk/reward profiles.

- **First-party Neocloud (100% equity/capex, consolidating financials, high risk and high return):** For the Gumi AI DC, the company will fund 100% of capex from its cash balance, build and own the infrastructure, and capture 100% of GPUaaS economics on a gross basis. SDS previously guided to >W2T in capex (vs. JPMe: W3T-4T, based on the recent GPU pricing environment) for the initial 60MW AI DC at Gumi, which should result in higher upfront spend, but also higher earnings upside. **The execution of first-party Neocloud (vs. the consortium-based Neocloud and DBO model below) should serve as a major swing factor for the company's AI DC value creation, in our view.**
- **Consortium-based Neocloud (partial equity stake, equity method recognition, medium risk and medium return):** SDS plans to take an equity stake (c.30%, JPMe) in an SPV for the Haenam AI CC project alongside other strategic partners, including the Korean government and major domestic Internet platforms. The SPV will likely pursue additional debt financing, on top of the equity injection.
- **DBO (Design-Build-Operate) model (no equity stake, fee business model, low risk and low return):** SDS offers AI DC build/operation services for third-party asset owners and earns fees without a capex burden, which results in lower risk/upside.

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Table 2: AI DC business model comparison

Player	Business model	Revenue/Costs	Risk / return profile	Key players	Funding strategy
NeoCloud	Builds and operates GPU clusters and rent GPU capacity on-demand or via committed contracts. Key customers include Hyperscalers, AI Model labs, Government, and Startup etc.	Recognizes GPU rental fee as a key revenue stream. Key cost driver includes GPU depreciation costs, power & cooling, colocation lease, maintenance and financing costs.	High risk / high return. Strong top-line and operating leverage when GPU spot pricing and utilization are favorable. Volatility is high because margins hinge on utilization/realized GPU rental rates; providers also carry IT hardware generation obsolescence risk.	Global: CoreWeave, Nebius, IREN, Lambda, Nscale, etc. Korea: NAVER, **Samsung SDS**, NHN Cloud.	(1) Samsung SDS: funds capex largely from internal cash flow supported by captive demand. (2) CoreWeave: Combination of internal cash and external debt to finance Capex. (3) NAVER: Capex financed largely via external capital.
Colocation	Rents powered space (space + electricity, cooling, connectivity), where customers deploy and operate their own servers. Key customers include Hyperscalers, AI Model labs, NeoCloud operators, Enterprises, and Financial institutions etc.	Recognizes datacenter lease revenue (+ network, electricity fee etc). Key costs driver includes building & IT equipment depreciation, electricity fee, maintenance and site operations expenses, along with financing costs.	Mid risk / mid return. Contracted, long-duration cash flows vs. Limited leverage to GPU spot pricing. IT hardware obsolescence risk sits with the customer.	Global: Equinix, Digital Realty, NTT Global Data Centers, Core Scientific. Korea: SK Horizon, SK Hyper, KT, LG Uplus, KINX	(1) SK Horizon: Telco equity plus external FIs taking equity stakes. (2) KT: Management stressed a strategy to lean more on external capital for expansion.
DBO	Designs, builds, and runs the facility under contract and earns service fees from datacenter asset owner. Key customers include asset management firms.	Recognizes one-time design/build-out service fee and recurring operations & maintenance fees. Key cost drivers include personnel costs (engineering, operation, maintenance), construction costs.	Low risk / low return. Asset-light exposure to data center demand without heavy capex. Returns are typically lower due to service style margins; High dependence on customer datacenter capex cycles.	Global: Applied Digital, NTT data. Korea: LG CNS, Lotte Innovate, **Samsung SDS**	No dedicated Capex requirement.

Source: J.P. Morgan.

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Samsung SDS's first-party project economics analysis

#1. Initial first-party 60MW Gumi Phase 1 (captive), opening in 2H29E

SDS's 60MW first-party Neocloud (Phase 1 in Gumi, mainly for captive Samsung group) offers a compelling value proposition, in our view, anchored by lower execution risk through captive Samsung group demand and a 100% self-funded capex model.

Why we are constructive

- **Lower execution risk on captive demand.** SDS's Gumi Phase 1 (60MW) offers clear demand visibility, with Samsung Group expected to absorb most of the capacity for secure, sensitive workloads. This captive demand significantly reduces execution risk and differentiates SDS from local competitors who rely on less predictable overseas demand.
- **Superior self-funded economics.** Compared to debt-financed domestic players, the company's 100% self-funded capex strategy, if properly executed, should generate superior economics by eliminating debt financing cost.

Where uncertainty remains

- **Captive contract (price) timing**. Unlike peers who secure upfront long-term pricing contracts, SDS plans to set compute pricing later in the build-out (e.g., 2028 for Gumi), making final economics dependent on future compute and GPU pricing. While global Neocloud margins have improved this year amid tighter supply, SDS's delayed pricing could miss current favorable market conditions. Conversely, delaying captive contract pricing could offer margin upside if compute and GPU prices rise, allowing SDS to capitalize on future market strength.
- **Earnings inflection is expected from 2030**, following the AI DC launch in late 4Q29—representing a notable delay versus local competitors.

Table 3: Samsung SDS vs. Other domestic Neocloud players

	SDS Neocloud	Other domestic AI DC players
Demand Source	Captive (Samsung Group)	Overseas (US hyperscalers, etc.)
Execution Risk	Lower (demand visibility)	Higher (chasing external demand)
Funding Strategy	100% self-funded	Debt-financed
Contract Pricing Timing	Later (mid/late build-out)	Upfront, long-term
Earnings Inflection	2030 (lagged)	Earlier

Source: J.P. Morgan.

#2. Additional 60MW Gumi Phase 2: Weaker visibility

Management has indicated a potential 60MW expansion post-2030, driven by increased captive demand or new contracts from non-captive customers. However, we point out below key constaints:

- We believe NVIDIA's partnership and equity investment gives Neocloud players a strong advantage in GPU procurement and attracting non-captive customers. However, the absence of a dedicated AI DC GPU partnership for SDS, unlike domestic competitors, poses a question on future capacity expansion.
- SDS lacks a clear external funding strategy, which is essential for scaling its capital-intensive GPUaaS business. Establishing GPU supply partnerships could help attract investors by demonstrating that funding leads to deployable capacity, as seen with domestic peers, but SDS has not yet implemented this approach.
- SDS's captive advantage may not translate to non-captive customers, especially as competitors benefit from established GPU supply, financing partnerships and an early lead in GPUaaS execution.

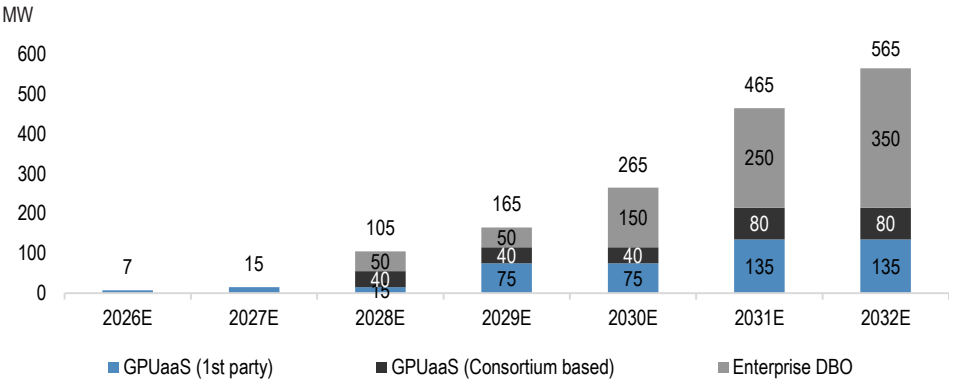
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Our forecast/assumptions for SDS's AI DC business

Our base case projects stable GPUaaS unit economics through 2031, with revenue per MW at ~W20B, reflecting current market pricing, industry trends, and SDS mgmt expectations. Capacity forecasts align with the company's roadmap.

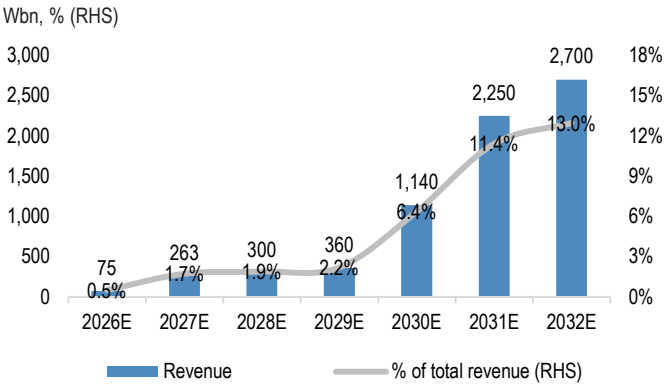
- **First-party Neocloud.** We modeled Gumi AI DC buildout of 60MW in 4Q29E and another 60MW expansion in 1Q31E. We assume ~25% OPM, above the company's expectations (high-teens), under a self-funding strategy. On this basis, we forecast first-party GPUaaS revenue to rise from W360B in 2029E to W2.7T by 2032E, with OP increasing from W58B to W670B. We expect OP contribution to expand from c.5% to c.32% over the same period.
- **Consortium based Neocloud (equity method).** We model a 40MW Haenam AI DC launch in 3Q28E, followed by a further 40MW Phase 2 expansion in 1Q31E. We model OPM at ~15%, reflecting Haenam's potentially higher exposure to public-interest demand (e.g., SMEs/public institutions). Assuming a 30% stake, we estimate Haenam's NP contribution (equity method gain) to rise to W24B in 2029E and W53B by 2032E, representing 2.4%/3.2% of total NP.
- **DBO model.** We model DBO capacity expansion to 50MW by 2029 and 150MW/250MW/350MW by 30/31/32E, generating W300B/W500B/W700B fee rev, translating into OP of W24B/W40B/W56B based on 8% OPM assumption.

Figure 8: Samsung SDS: AI DC capacity forecast



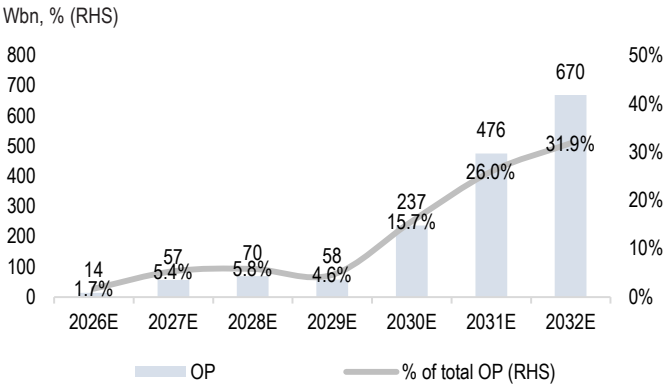
Source: J.P. Morgan estimates.

Figure 9: Samsung SDS: First-party AI DC revenue forecast



Source: J.P. Morgan estimates.

Figure 10: Samsung SDS: First-party AI DC OP forecast



Source: J.P. Morgan estimates.

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Table 4: Samsung SDS: AI DC Forecasts Summary

Wbn, %, %p

	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Total Capacity (MW)	**7**	**15**	**105**	**165**	**265**	**465**	**565**
GPUaaS	7	15	55	115	115	215	215
Dongtan	7	15	15	15	15	15	15
Gumi				60	60	120	120
Haenam (equity method)			40	40	40	80	80
Enterprise DBO			50	50	150	250	350
Revenue	**75**	**263**	**400**	**460**	**1,440**	**2,750**	**3,400**
GPUaaS	75	263	300	360	1,140	2,250	2,700
Dongtan	75	263	300	300	300	300	300
Gumi				60	840	1,950	2,400
Enterprise DBO			100	100	300	500	700
OP	**14**	**57**	**78**	**66**	**261**	**516**	**726**
GPUaaS	14	57	70	58	237	476	670
Dongtan	14	57	70	70	70	70	70
Gumi				-12	167	406	600
Enterprise DBO			8	8	24	40	56
NP	**10**	**41**	**59**	**72**	**216**	**419**	**579**
GPUaaS	10	41	51	42	172	345	486
Enterprise DBO			6	6	17	29	41
Haenam (equity method)			3	24	26	45	53
Operating margin (%)	**19%**	**22%**	**19%**	**14%**	**18%**	**19%**	**21%**
GPUaaS	19%	22%	23%	16%	21%	21%	25%
Dongtan	19%	22%	23%	23%	23%	23%	23%
Gumi				-20%	20%	21%	25%
Enterprise DBO			8%	8%	8%	8%	8%
YoY Growth (%)							
Revenue		250%	52%	15%	213%	91%	24%
OP		303%	36%	-15%	297%	98%	41%
NP		303%	42%	22%	199%	94%	38%

Source: J.P. Morgan estimates.

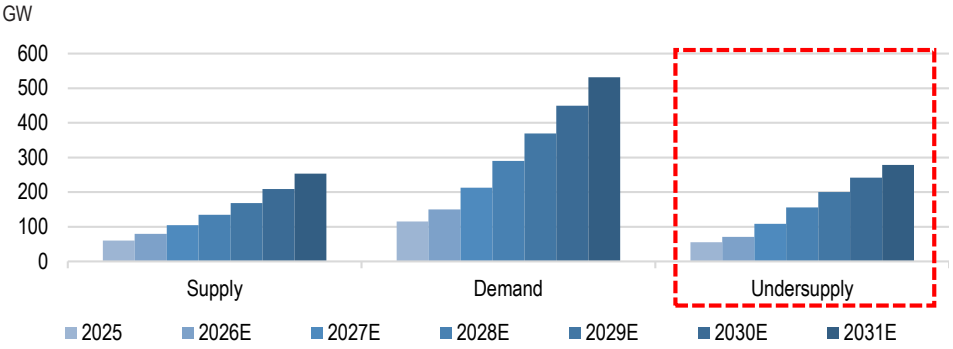
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Samsung SDS: AI DC economics sensitivity analysis

We re-emphasize that first-party GPUaaS pricing and GPU cost at captive contract timing (JPMe: late 2027~2028) remains the key swing factor for the company's AI DC economics. Our base case scenario (1MW = W20B annual revenue) for total 120MW first-party capacity (Gumi) should generate W2.4T rev/W600B OP in 2032E, assuming stable GPUaaS unit economics through 2031.

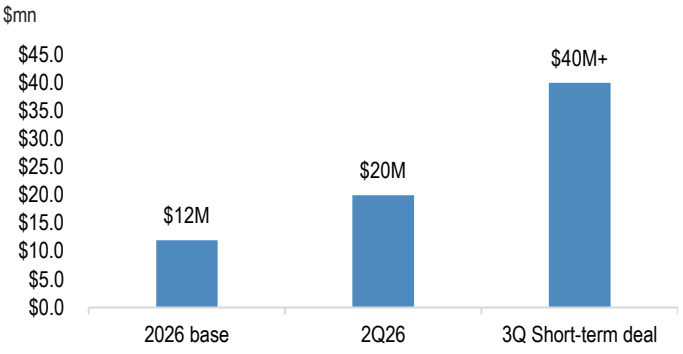
In our bull case, where GPU pricing is 50% above (1MW = W30B annual revenue) our base case, OP (W1.2T) is projected to 2x our base-case estimate, driven by operating leverage in a favorable pricing environment. Conversely, if pricing declines by ~50%, OP could fall into slightly loss-making territory due to the fixed-cost nature of the business. However, we believe this scenario may be overly bearish, as captive customers could potentially support a certain level of profitability.

Figure 11: Global AI Compute Supply/Demand Forecast



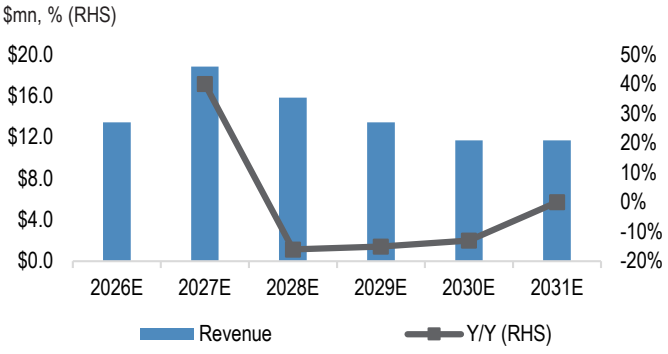
Source: J.P. Morgan Communications Infrastructure team, J.P. Morgan Asia Technology Hardware team.

Figure 12: Nebius: Annual revenue per MW



Source: Company data.

Figure 13: SpaceX: NeoCloud revenue per MW



Source: J.P. Morgan US Internet team estimates.

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Table 5: Samsung SDS: GPUaaS economic sensitivity (1st party project only)

Wbn

	Bear case	Base case	Bull case
Revenue per MW	**10**	**20**	**30**
GPUaaS Capacity (MW)	**120**	**120**	**120**
Revenue	**1,200**	**2,400**	**3,600**
OPEX	**1,215**	**1,800**	**2,385**
GPU costs	585	1,170	1,755
Others (e.g. labor, electricity)	630	630	630
OP	**-15**	**600**	**1,215**
OPM	**-1%**	**25%**	**34%**
2032E OP contribution	**-1%**	**29%**	**58%**

Source: J.P. Morgan estimates.

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Samsung SDS legacy ITS business

ITS margin likely to remain range-bound

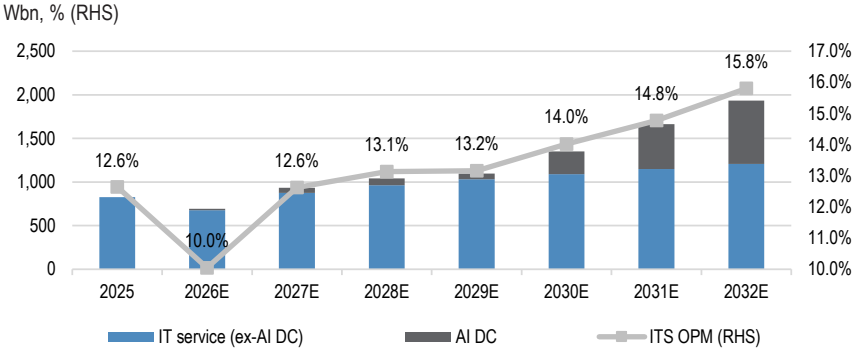
We expect ITS margins to recover in 2H26, with more meaningful expansion only from 2030E. Near-term ITS revenue growth is likely to be led by non-captive MSP demand, particularly from public/financial-sector customers. That mix shift matters: MSP margins are typically mid-single digits, below the low-teens ITS margins overall and mid-teens CSP margins.

Enterprise AI transition offers both opportunities/risks

Looking ahead, we see AI supporting SDS's project pipeline, though the earnings impact is less clear. Enterprise AX spending is expected to create MSP opportunities. However, customers may push for lower pricing as AI improves delivery efficiency, but we believe SDS's own AI-driven productivity gains have yet to materialize. At the same time, AI model labs/SaaS providers are taking a more direct role in the value chain, potentially diluting SI operators' traditional value-add.

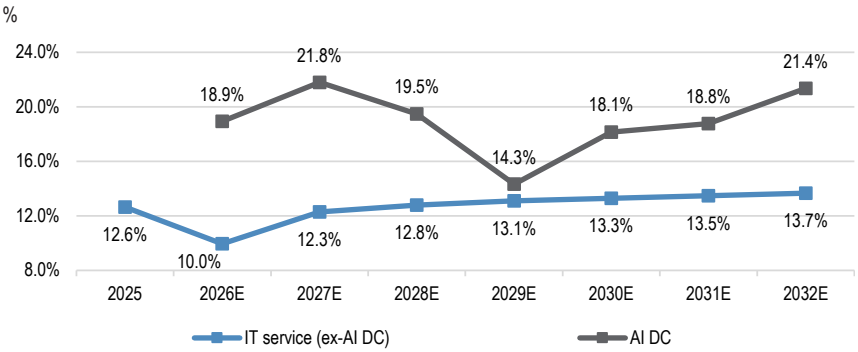
We forecast ITS OPM to stay at the 12-13% level until 2030E, when the first-phase Gumi AI DC reaches full utilization and supports a step-up towards ~16% by 2032E.

Figure 14: Samsung SDS: IT service OP, OPM



Source: Company data, J.P. Morgan estimates.

Figure 15: Samsung SDS: IT service OPM



Source: Company data, J.P. Morgan estimates.

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Table 6: Samsung SDS: JPMe vs. Street

Wbn, %, %p

	JPMe			BBG			% difference		
	3Q26E	2027E	2028E	3Q26E	2027E	2028E	3Q26E	2027E	2028E
Net sales	**3,715**	**15,178**	**15,871**	**3,619**	**15,289**	**16,160**	**2.6%**	**-0.7%**	**-1.8%**
OP	**242**	**1,068**	**1,198**	**252**	**1,094**	**1,233**	**-3.8%**	**-2.4%**	**-2.8%**
% OPM	6.5%	7.0%	7.6%	7.0%	7.2%	7.6%	-0.4%p	-0.1%p	-0.1%p
NP	**196**	**850**	**939**	**207**	**895**	**978**	**-5.3%**	**-5.1%**	**-4.0%**
% NPM	5.3%	5.6%	5.9%	5.7%	5.9%	6.1%	-0.4%p	-0.3%p	-0.1%p

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Samsung SDS *(Neutral; Price Target: W220,000)*

Investment Thesis

We rate SDS as Neutral. The company is well positioned to leverage its Neocloud (AI data center) expansion strategy, supported by secured captive demand from the Samsung group. However, we anticipate that the earnings inflection point remains distant - likely not materializing until late 2029 following the opening of the Gumi AI DC. The underlying economics appear volatile and the success of non-captive execution requires further validation. We believe the AI DC hype is largely priced into the YTD share price re-rating, while further progress in AI DC upside economics and non-captive execution remains a key share price swing factor.

Valuation

Our SoTP-driven Dec-27 PT of W220K reflects stable IT services margins amid AI-driven opportunities and risks, valuing legacy SI at W14T (16x target 2028E P/E) and AI DC business at W2.4T.

Samsung SDS: SoTP Valuation

SoTP	Value (Wtrn)	Per share (KRW)	Note
(1) Core legacy	**14.4**	**190,000**	**Apply 16.2x target 2028E P/E multiple (3-year average) to 2028E NP (ex-AI DC)**
(2) AI DC value	**2.4**	**30,000**	**Apply CoreWeave's 4.5x 2031E EV/EBIT multiple to 2031E GPUaaS OP**
(a) 1st party (Dongtan + Gumi)	2.1	27,000	W3.1trn implied value as of Dec-31
(b) Consortium-based (Haenam)	0.3	3,000	30% stake assumption
Fair value	16.8	220,000	20.0x implied 2027E P/E

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) slower-than-expected first-party Neocloud project execution and weaker compute & token pricing dynamics; 2) continued weakness in the core ITS business; and 3) smaller-than-expected ITS AX project order wins. Key upside risks to our rating and price target include: 1) progress of AI DC economics and an accelerating non-captive execution strategy; 2) any meaningful cash allocation plan update (buyback and M&A plan); and 3) major Samsung group affiliate's capex plan update.

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Samsung SDS: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E
Revenue	**13,828**	**13,930**	**14,554**	**15,178**
COGS	(11,816)	(11,850)	(12,509)	(12,902)
Gross profit	**2,012**	**2,080**	**2,046**	**2,277**
SG&A	(685)	(717)	(786)	(759)
Adj. EBITDA	**1,518**	**1,587**	**1,462**	**1,764**
D&A	(607)	(630)	(648)	(696)
Adj. EBIT	**911**	**957**	**813**	**1,068**
Net Interest	132	135	174	197
Adj. PBT	**1,103**	**1,076**	**959**	**1,212**
Tax	(313)	(293)	(270)	(333)
Minority Interest	-	-	-	-
Adj. Net Income	**757**	**760**	**674**	**850**
Reported EPS	9,783	9,816	8,706	10,985
Adj. EPS	**9,783**	**9,816**	**8,706**	**10,985**
DPS	**2,900**	**3,190**	**3,400**	**3,750**
Payout ratio	29.6%	32.5%	39.1%	34.1%
Shares outstanding	77	77	77	77

Balance Sheet	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	6,024	6,380	7,969	8,124
Accounts receivable	814	805	1,068	1,112
Inventories	19	15	29	31
Other current assets	2,147	2,205	2,340	2,438
Current assets	**9,004**	**9,406**	**11,405**	**11,704**
PP&E	1,774	1,752	1,741	1,967
LT investments	-	-	-	-
Other non current assets	2,461	2,296	2,367	2,405
Total assets	**13,238**	**13,454**	**15,514**	**16,076**
Short term borrowings	0	0	0	0
Payables	707	585	745	776
Other short term liabilities	1,788	1,747	1,819	1,824
Current liabilities	**2,495**	**2,332**	**2,564**	**2,600**
Long-term debt	0	0	0	0
Other long term liabilities	1,037	859	1,904	1,844
Total liabilities	**3,533**	**3,191**	**4,468**	**4,444**
Shareholders' equity	9,705	10,263	11,046	11,632
Minority interests	-	-	-	-
Total liabilities & equity	**13,238**	**13,454**	**15,514**	**16,076**
BVPS	**125,429**	**132,634**	**142,748**	**150,333**
y/y Growth	*8.1%*	*5.7%*	*7.6%*	*5.3%*
Net debt/(cash)	(6,024)	(6,380)	(7,969)	(8,124)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Cash flow from operating activities	**1,189**	**1,203**	**1,158**	**1,467**
o/w Depreciation & amortization	607	630	648	696
o/w Changes in working capital	(207)	(209)	(179)	(108)
Cash flow from investing activities	**(681)**	**(443)**	**(709)**	**(959)**
o/w Capital expenditure	(726)	(608)	(638)	(921)
as % of sales	*5.3%*	*4.4%*	*4.4%*	*6.1%*
Cash flow from financing activities	**24**	**(404)**	**1,139**	**(353)**
o/w Dividends paid	(209)	(224)	(247)	(263)
o/w Shares issued/(repurchased)	0	0	0	0
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**533**	**356**	**1,588**	**155**
Adj. Free cash flow to firm	**120**	**716**	**624**	**621**
y/y Growth	*(76.7%)*	*497.1%*	*(12.8%)*	*(0.5%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Gross margin	14.6%	14.9%	14.1%	15.0%
EBITDA margin	11.0%	11.4%	10.0%	11.6%
EBIT margin	6.6%	6.9%	5.6%	7.0%
Net profit margin	5.5%	5.5%	4.6%	5.6%
ROE	8.1%	7.6%	6.3%	7.5%
ROA	5.9%	5.7%	4.7%	5.4%
ROCE	7.0%	7.0%	5.5%	6.8%
SG&A/Sales	5.0%	5.1%	5.4%	5.0%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	1.1	1.0	1.0	1.0
Assets/Equity (x)	1.4	1.3	1.4	1.4
Interest cover (x)	NM	NM	NM	NM
Operating leverage	306.5%	687.0%	(334.8%)	730.4%
Tax rate	28.4%	27.2%	28.2%	27.5%
Revenue y/y Growth	4.2%	0.7%	4.5%	4.3%
EBITDA y/y Growth	6.8%	4.5%	(7.9%)	20.6%
EPS y/y Growth	9.2%	0.3%	(11.3%)	26.2%

Valuation	FY24A	FY25A	FY26E	FY27E
P/E (x)	21.1	21.0	23.7	18.8
P/BV (x)	1.6	1.6	1.4	1.4
EV/EBITDA (x)	7.1	6.6	6.1	4.9
Dividend Yield	1.4%	1.5%	1.7%	1.8%

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Date	Rating	Price (W)	Price Target (W)
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22-Apr-24	OW	147400	200,000
23-Jan-25	N	126100	140,000
24-Jul-25	N	173900	170,000
23-Apr-26	N	180400	175,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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